

		Based on information and belief, Evergreen is and was wholly owned and controlled by Whelan and there is and was a unity of interest and ownership which existed between Whelan and Evergreen, such that the separateness of the individual and the entity never existed. Further, based on information and belief, denying the unity of interest between Whalen and Evergreen will result in fraud and inequity for Plaintiff. This alter ego should result in piercing the corporate veil because the corporate veil of Evergreen should be set aside so that Whelan may be held personally responsible and accountable for all acts and transactions of Evergreen. (FAC, ¶ 4.) <u>Merits</u> Although Plaintiff alleges, on information and belief, that Whalen wholly owned and controlled Evergreen and that recognizing the corporate form would result in fraud and inequity, the FAC does not allege supporting facts such as commingling of assets, misuse of corporate funds, undercapitalization, disregard of corporate formalities, or other conduct demonstrating that no meaningful separation existed between Whalen and Evergreen. Instead, the FAC essentially recites the elements of alter ego liability in conclusory fashion. The FAC likewise does not allege facts showing that the corporate form was used to perpetrate fraud or accomplish another inequitable purpose sufficient to justify piercing the corporate veil. Accordingly, the demurrer is sustained with leave to amend. In light of the Court’s ruling on the demurrer, the motion to strike is denied as moot. Should Plaintiff wish to file an amended complaint that addresses the issues in this ruling, Plaintiff must file and serve it within 30 days of service of notice of ruling. Defendant to give notice.
3	Shy Enterprises, Inc. vs. Chung	TENTATIVE RULING: Defendants In Joo Chung, James Chung, and Defendant 121 Company, Inc., demur to the Complaint of Plaintiff Shy Enterprises, Inc. For the following reasons, the demurrer is SUSTAINED with leave to amend.

Standard on Demurrer

In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-1405.) Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) A demurrer tests only the sufficiency of the complaint; a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 n.7.)

Although courts should take a liberal view of inartfully drawn complaints (*see* Code Civ. Proc., § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.) Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; *see* Code Civ. Proc., § 425.10(a).)

First Cause of Action (Concealment)

The first cause of action alleges Defendants concealed and suppressed material facts relating to the ventilation system at the restaurant and citations by county authorities. (FAC ¶ 48.)

Active concealment or suppression of facts is the equivalent of actual fraud. (Civ. Code, § 1572(3).) The elements of a cause of action for fraudulent concealment are: (i) concealment or suppression of a material fact; (ii) by a defendant with a duty to disclose the fact to the plaintiff; (iii) defendant's intent to defraud plaintiff by intentionally concealing or suppressing the fact; (iv) plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (v) as a result, the plaintiff sustained damage. (*Hambrick v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162; *see also* Civ. Code, § 1573.)